

Q 1. Identify the statement from the following which closely describes the purpose of insurance.

- ☐ Generate income for an asset
- ☐ Generation of profit for the insurer
- ☐ The mitigation of loss of economic value of an asset
- ☐ To ensure that the asset performs efficiently over a certain period of time
- ☐ Arranging a substitute at the end of the lifetime of the asset to ensure that the owner does not lose income

 UnAttempted

CORRECT ANSWER:

The mitigation of loss of economic value of an asset

Explanation:

Insurance seeks to mitigate losses of economic values of assets due to unforeseen events.

Q 2. Identify from the following, the correct option/s which can be considered as a promotional activity of a company. 1. Sales discount for a short span of time 2. Publishing of financials of the company 3. Exhibition of products at a seminar 4. Newspaper article by the newspaper about the company's achievements

- ☐ Only 1 and 2
- ☐ Only 1 and 3
- ☐ 1 ,2 ,3 and 4
- ☐ Only 2, 3 and 4
- ☐ Only 1, 2 and 3

 UnAttempted

CORRECT ANSWER:

Only 1 and 3

Q 3. _____ is considered as a homogeneous unit for the purpose of a market.

- ☐ Sellers
- ☐ Buyers
- ☐ Customers
- ☐ Consumers
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

Market segmentation is the process of disaggregating the total market into a number of sub-markets, in such a way that each of these submarkets share one or more common characteristics relevant to the purchase.

They are thus homogeneous units.

Q 4. Suggest on how the gap between the management's perception of customer's expectation and the customer's expectations can be bridged, in gap model.

- ☐ Through supervision
- ☐ Through control system
- ☐ Through training
- ☐ Through middle managers
- ☐ Through surveys and feedback

 UnAttempted

CORRECT ANSWER:

Through surveys and feedback

Explanation:

There are five critical gaps that may occur affecting the quality of service, which, as stated earlier, is the difference between expectation and experience as perceived.

· Gap 1 is between the management's perception of customer's expectation (MCE) and the customer's expectations (CEE).

This gap can be bridged through surveys, feedback, complaints, etc. that help to improve the understanding of customer.

Q 5. Which of the following items included in the code of ethics are likely to be classified as strictly prohibited? 1. Receiving commissions 2. Giving and receiving kickbacks 3. Competition with other players in the same business 4. Making public, the audited financial statements of the company

- ☐ Only 2
- ☐ Only 3
- ☐ 1, 2, 3 and 4
- ☐ Only 1,2 and 3
- ☐ Only 2, 3 and 4

 UnAttempted

CORRECT ANSWER:

Only 2

Explanation:

Code of ethics is always helpful as it states in the standards of right or wrong. Preparation of such a code requires that the top management thinks through its responsibility and the values it wants to uphold.

Following are some of the items included in the code of ethics of some firms, as strictly prohibited:

Non-Adherence to safety and quality standards, Extortion, Bribery, Kickbacks, Illegal political payments, Use of inside information, Violation of any law, Falsification of accounts, Moonlighting, Revealing company secrets.

Q 6. Select the correct option from the following with respect to “Rational Buying Process”.

- ☐ Buying decision is instant once the need and product for the same is matched and generally no alternates are evaluated
- ☐ Before buying customer has to be aware of a need to be satisfied
- ☐ Customer must want to satisfy that need
- ☐ All of the above
- ☐ Options (b) and (c)

 UnAttempted

CORRECT ANSWER:

Options (b) and (c)

Explanation:

A customer buys because he wants to satisfy a need. Therefore, before buying,

- **he has to become aware of a need to be satisfied**
- **he must want to satisfy that need (He has the option of not satisfying the need)**
- **he will search for alternatives that will satisfy the want**
- **he will gather data on the alternatives available and compare the data**
- **he will evaluate the alternatives on the basis of such comparisons**

Q 7.

When does a buying process starts?

- ☐ When the buyer finds product
- ☐ When the buyer finds service
- ☐ When the buyer recognises a problem or need
- ☐ When the buyer come across an advertisement for the product
- ☐ When the buyer recognises a salesperson from a previous visit

 UnAttempted

CORRECT ANSWER:

When the buyer recognises a problem or need

Explanation:

A customer buys because he wants to satisfy a need. Therefore, before buying he has to become aware of a need to be satisfied.

Q 8. Product X of ABC Company is declared to be a drag by PQR business magazine's analysis. Identify the position in BCG matrix will be assigned to the product.

- ☐ Star
- ☐ Moon
- ☐ Dog
- ☐ Cash cow
- ☐ Problem child

 UnAttempted

CORRECT ANSWER:

Dog

Explanation:

The product portfolio must be reviewed from time to time. The Boston Consulting Group had developed a grid known as the Boston Matrix, to do this analysis.

The 'Dog' is a drag on the company and needs to be killed as early as possible. The Matrix helps to identify the products in terms of the differential attention needed.

The appropriate strategies are called Build for Stars, Hold for Problem Childs, Harvest for the Cash Cows and Divest for the Dogs. Strategies can also seek to convert each product from its existing status to a higher one.

Q 9. Identify the correct option from the following for the term which represents the social differentiation, whereby a society classifies people into socio-economic groups like occupation, income, wealth and social status or derived social or political power.

- ☐ Social division
- ☐ Cultural division
- ☐ Public layering
- ☐ Social stratification
- ☐ Social classification

 UnAttempted

CORRECT ANSWER:

Social stratification

Explanation:

People wanted to belong to preferred groups. As a result, several new concepts like social stratification, reference groups, role orientation, culture, opinion leadership, etc., are used to understand and explain buyer behaviour.

Stratification is the division of something, especially society, into different classes or layers.

Q 10. Select the correct option from the following with respect to the role of insurance in protection of an asset.

- ☐ Insurance does not protect any asset
- ☐ Insurance protects an asset by avoiding the peril
- ☐ Insurance protects the asset through better safety and damage control management
- ☐ Insurance helps in prevention of loss due to occurrence of a peril and hence helps in protection of asset
- ☐ Insurance helps in compensating the family income of the deceased person, hence helps in protection of asset

 UnAttempted

CORRECT ANSWER:

Insurance does not protect any asset

Explanation:

Insurance does not protect the asset. It does not prevent its loss due to the peril. The peril cannot be avoided through insurance. The peril can sometimes be avoided, through better safety and damage control management.

Insurance only tries to reduce the impact of the risk on the owner of the asset and those who depend on that asset. It compensates the losses, may not be fully.

Q 11. Identify from the following, the risks which are classified as non-life covers but covered also by life insurance companies in India.

- ☐ Casualty cover
- ☐ Fidelity cover
- ☐ Sickness cover
- ☐ Option a and c
- ☐ All of the above

 UnAttempted

CORRECT ANSWER:

Option a and c

Explanation:

Sickness and accidents to human beings are classified as non-life insurance in India but as life insurance in many other countries, although, in India, life insurance policies may cover the accident and sickness risks, as additional cover along with the main life insurance policies.

Q 12. The general frequency with which transactions takes place in Haats is _____.

- ☐ Weekly
- ☐ Monthly
- ☐ Daily
- ☐ Annually
- ☐ Fortnightly

 UnAttempted

CORRECT ANSWER:

Weekly

Explanation:

The Indian rural market consists of about 47000 *haats* or weekly markets in the villages. These are also called *painths* or *shandies*.

These are held on specific days of every week in the villages and are visited by villagers, within a radius of 5 to 10 kms.

Q 13. Identify the marketing strategy adopted by the company in below mentioned scenario: 'A high end sports product brand has introduced a club of its customers which provides discount at high quality restaurants, arranges for special resort membership and regularly publishes magazines with the information about their products and safety guidelines.'

- ☐ Communication strategy
- ☐ Possessive strategy
- ☐ Niche strategy
- ☐ Defensive strategy
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

Defensive strategy

Explanation:

Some organisations may be quite happy with the existing position in the market and would be trying to protect its territory, preventing others from making inroads.

This is a defensive strategy, reminding customers of their satisfactions in the past and strengthening their loyalties.

Q 14. In which of the following policies the liability of the insurer may be known long after the policy term is over?

- ☐ Medclaim
- ☐ Annuity policy
- ☐ Child care policies
- ☐ Life insurance policies
- ☐ Non-life long tail insurance policies

 UnAttempted

CORRECT ANSWER:

Non-life long tail insurance policies

Explanation:

Non-life insurance policies are mostly for short periods of one year. The claim has to arise in that one year.

But there are some policies with 'long tails' which means that the liability of the insurer may be known long after the policy term is over.

Q 15. _____ is considered to be the basic task of a marketer.

- ☐ Product promotion
- ☐ Maximise selling
- ☐ Building brand value
- ☐ Deliver customer satisfaction
- ☐ Generate profit for the company

 UnAttempted

CORRECT ANSWER:

Deliver customer satisfaction

Explanation:

The basic task of a marketer is to deliver to the customer, satisfaction. He does so, by offering a Product, at a reasonable Price, at a suitable Place and after appropriate Promotion.

Q 16. What is the correct option indicating the extended P's of service marketing mix?

- ☐ Price ,Product, Promotion
- ☐ People ,Product, Place
- ☐ Price, Physical, Evidence promotion
- ☐ Physical environment, Process, People
- ☐ Product, Process, Physical environment

 UnAttempted

CORRECT ANSWER:

Physical environment, Process, People

Explanation:

It was believed that **Product, Price, Place and Promotion** which are called the four 'P's, could deliver satisfaction and they were called the elements of the Marketing Mix.

Three further 'P's have been added to the original four. These additions had been found necessary in the context of the marketing of services, which have different characteristics from the marketing of goods.

The extended three 'P's are **People, Process and Physical** factors. Insurance is a service business. Therefore, all the 7 'P's would apply to Insurance.

Q 17. Identify from the following, the correct option which is a part of insurance product development.

- ☐ Determining product features
- ☐ Process of policy issuance
- ☐ Determining policy terms and conditions
- ☐ All of the above
- ☐ Only options (a) and (c)

 UnAttempted

CORRECT ANSWER:

Determining policy terms and conditions

Explanation:

Determining the policy terms and conditions and generating a variety of plans is one part of product development.

Managing the interactions is an equally important part of product development.

Q 18. As insurance is pooling of risk, identify the term which refers to the share of the likely loss which is collected in advance.

- ☐ Advance
- ☐ Penalty
- ☐ Claims
- ☐ Premium
- ☐ Sum Assured

 UnAttempted

CORRECT ANSWER:

Premium

Explanation:

The share which is collected in advance, is called the Premium. The premium would depend on the maximum that the person would expect to receive in the event of the loss.

Q 19. Carefully evaluate the following statements with regards to the value of life of a human being and select the correct option. 1. Value of human being is dynamic 2. The value of a human being does not depreciate over time 3. There is no limit to the value of the life of human being

- ☐ 1,2 and 3
- ☐ Only 1 and 3
- ☐ Only 2
- ☐ Only 2 and 3
- ☐ Only 1 and 2

 UnAttempted

CORRECT ANSWER:

1,2 and 3

Explanation:

The principle of indemnity does not apply in the case of life insurance. The assumption is that there is no limit to the value of the life of a human being.

Unlike property, a human being is dynamic, capable of learning, able to improve skills and competence and thereby enhance his worth. Unlike property, the value of a human being does not depreciate over time. It may actually appreciate.

Q 20. Identify the reason for payment of claim amount lower than the loss incurred, in case of motor accident claim. 1. Customer claimed no claim bonus 2. Not insured for adequate sum assured 3. Deduction made for depreciation

- ☐ Only 3
- ☐ 1 and 2
- ☐ 1 and 3
- ☐ 2 and 3
- ☐ 1, 2 and 3

 UnAttempted

CORRECT ANSWER:

2 and 3

Explanation:

When deductions are made for depreciation, or because of lower sum assured, or for breach of warranties, the claim amount can be lower than the loss incurred.

Q 21. The important factors that needs to be taken into consideration during planning the programmes and activities are:

- ☐ Consistency, Integration and Liasion
- ☐ Continuity, Integration and Leverage
- ☐ Consistency, Integration and Leverage
- ☐ Change Integration and Leverage
- ☐ Consistency, Intelligence and Leverage

 UnAttempted

CORRECT ANSWER:

Consistency, Integration and Leverage

Explanation:

Three important factors to be taken care of in planning programmes and activities are:

- **Consistency:** There has to be a logical and useful fit between all the elements of the mix.
- **Integration:** Focussing on active harmonious linkage among elements of the mix.
- **Leverage:** Each element should be used to best advantage in support of the total mix.

Q 22. The term which best refers to a set of characteristics used to describe a specific product is

-
- ☐ Product Features
 - ☐ Product Personality
 - ☐ Product Description
 - ☐ Product Compilation
 - ☐ Product Specification

 UnAttempted

CORRECT ANSWER:

Product Personality

Explanation:

A product is basically something that a producer offers to a consumer to provide satisfaction of his needs. Product personality refers to the set of personality characteristics that people use to describe a specific product.

Q 23. Select the most appropriate option with regards to the following statement: “If vegetables or medicines perish after sometime, they have to be thrown away. Describe what become perishable in service.”

- ☐ As services are intangible, nothing perishes
- ☐ Tangibles such as tools and equipment that are used in delivery of services perishes.
- ☐ Service itself
- ☐ Expense incurred in arranging to deliver the service perishes
- ☐ The time spent for delivering the services perishes

 UnAttempted

CORRECT ANSWER:

Expense incurred in arranging to deliver the service perishes

Explanation:

A service perishes if it is not used. Goods which are manufactured also perish if they are not used. The difference is that goods can remain stored for some time till they are consumed. In the case of services, they cannot be stored.

In the case of services there is nothing to be thrown away as services are intangible. What perishes is the expense incurred in arranging to deliver that service. . If the supply is not used, it perishes.

Q 24. Explain the basis of classification of crops into “Kharif” and “Rabi”.

- ☐ Place where they are grown
- ☐ Demand of the crop
- ☐ Season in which they are grown
- ☐ All of the above
- ☐ Option (a) and (c)

 UnAttempted

CORRECT ANSWER:

Season in which they are grown

Explanation:

Kharif crops are the crops which are sown at the beginning of the rainy season and Rabi crops are the crops that are sown at the end of monsoon or at the beginning of winter season.

Q 25. Which of the following insurance products can be sold like commodity?

- ☐ Term insurance policies
- ☐ Annuity policies
- ☐ Third party motor policies
- ☐ All of the above
- ☐ Options b and c

 UnAttempted

CORRECT ANSWER:

Options b and c

Explanation:

A commodity is a standard product, which is not differentiated by the manufacturer of the product.

Some plans of insurance can be sold like commodities, without any verification about the buyer or the object being insured. They do not need customisation. Simple third party motor covers and annuity policies may be examples.

Q 26. Select the correct option from the following with respect to ' shared values of an organisation'.

- ☐ Shared value usually States the future plans of the company and expected business growth
- ☐ Organisational shared values are usually developed by the organisations leadership
- ☐ Rules and regulations of the company can be replaced by shared values of an organisation
- ☐ All of the above
- ☐ Only options b and c

 UnAttempted

CORRECT ANSWER:

Only options b and c

Explanation:

Shared values are organizational values that are usually developed by the organization's leadership and then adopted by the other members of the organization.

Every member of an organisation must understand its values. Otherwise, they will act in a manner contrary to what the company thinks is right.

Conformity in behaviour is achieved easier through shared values than through rules and regulations. Such sharing of values is particularly important in the context of intense competition in the market place and employees may be called upon to respond quickly in order to counter the strategies of the competitors or to 'recover' an aggrieved customer. Value dissemination is also necessary for empowerment.

Q 27. Select the correct option from the following with respect to the term “strategy”. 1. Strategies generally are short term plans 2. Promotion is the most important marketing mix to be focused while deciding strategy 3. Strategic plans provide direction and all operational plans are derived from them

- ☐ Only 3
- ☐ Only 2
- ☐ 1 and 2
- ☐ 1 and 3
- ☐ 1,2 and 3

 UnAttempted

CORRECT ANSWER:

Only 3

Explanation:

A strategy, briefly, is a long-term plan. It is how an organisation proposes to achieve a long-term objective or mission. Strategic plans provide direction and all operational plans are derived therefrom.

Q 28. Identify from the following, the correct option showing the general practice of insurance companies in collecting contribution from members.

- ☐ On distribution basis
- ☐ On equal share basis
- ☐ On proportionate basis
- ☐ Based on the total premium paid by the client in previous years
- ☐ Based on option b and d

 UnAttempted

CORRECT ANSWER:

On proportionate basis

Explanation:

Through insurance, those exposed to the same risks to share the losses suffered by any of them. Insurance company collects the share in advance, which is called the premium.

Premiums are proportionate to the maximum loss the insured person expects. This maximum is called the Sum Assured.

Q 29. Identify from the following, the data generally used by customers for comparing insurance products and choosing Insurance Company.

- ☐ Claims ratio of the company
- ☐ Profit of the insurance company
- ☐ Premium rates for the product
- ☐ All of the above
- ☐ Option a and c

 UnAttempted

CORRECT ANSWER:

Option a and c

Explanation:

When selecting an insurance company, customers should collect information about the type and cost of insurance and the quality of service provided by the company if a loss occurs.

Q 30. What is/are the advantage/s of marketing focused on the customer and his behavioural characteristics?

- ☐ Facilitate price determination of the product
- ☐ Developing messages for advertisement and publicity
- ☐ Inputs on designing of the product
- ☐ All of the above
- ☐ Option (a) and (c)

 UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

These are the advantages which become available because marketing focussed on the customer and his behavioural characteristics, in a manner in which selling did not.

1. designing the product,
2. determining the price,
3. deciding on how to distribute and
4. planning the media and the messages for advertisement and publicity.

Q 31. _____ is generally not considered as an activity of an online trader.

- ☐ Retailer
- ☐ Wholesaler
- ☐ Stockist
- ☐ E commerce
- ☐ Digital marketing

 UnAttempted

CORRECT ANSWER:

Stockist

Explanation:

The online trader is the retailer, but he has no shop, no display and no stocks. What he displays on his sites are photographs with descriptions. When orders are placed, the goods are sent directly from the wholesaler or the manufacturer to the customer.

The online trader can be the distributor for a variety of goods and a variety of manufacturers, including those of competitors.

Q 32. Identify the correct scenario where a burglary insurance cover is applicable if insured.

- ☐ Bank was broke open and jewellery kept in safe was stolen
- ☐ A servant lady had stolen cash from the safe while doing her work
- ☐ Stocks stolen by a Manager during stock taking
- ☐ All of the above
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

Bank was broke open and jewellery kept in safe was stolen

Explanation:

Burglary insurance offers coverage for any loss or damage due to burglary attempt or housebreaking.

The policy does not cover shoplifting or anything stolen from a safe by obtaining duplicate key. Any loss happened due to involvement of business staff or servants is also not covered.

Q 33. Identify the systems development initiative taken by IRDAI for comparing and distribution of insurance policies online.

- ☐ BAP
- ☐ IGMS
- ☐ Web Aggregator
- ☐ Insurance repository
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

Web Aggregator

Explanation:

The IRDA Regulations issued on 3rd December 2013 provide for Web Aggregators (WA) to be licensed as intermediaries. WAs can be companies or Limited Liability Partnerships, which have a net worth of not less than ` 10 lakhs and which have as their main object web aggregation of insurance products.

Web Aggregators are expected to have websites through which prospects can provide information about themselves and seek information about the availability of insurance covers.

Q 34. Select the correct option from the following, with respect to social responsibility of an organization to the society. 1. Activities of the citizens directly benefit the stake holders and do not have any impact on anyone else 2. Organisation are created by citizens of society and organization have a responsibility towards the society 3. Responsibility of citizens towards society is similar to their responsibility to their stake holders and customers.

- ☐ 1,2 and 3
- ☐ Only 1 and 3
- ☐ Only 2
- ☐ Only 2 and 3
- ☐ Only 1 and 2

 UnAttempted

CORRECT ANSWER:

Only 2

Explanation:

‘Organisations are creations of society, being granted the necessary resources and accepting the outputs. They are citizens (members of society) and as citizens, they have a responsibility to the society as a whole. This responsibility is different from the responsibility they have to the stakeholders, like shareholders, customers, government, suppliers, etc.

These stakeholders benefit because they contribute directly to the activities and success of the organisation. The activities have impacts on persons other than the stakeholders.

Q 35. Examine and choose the correct option from the following statements with respect to “customer complaints”. 1. Complaints are generally interpreted as an accusation by people who provide service 2. A complaint definitely means that there is a fault or neglect on the part of an individual 3. Customer complaint should be treated as an opportunity to add a new element to the service

- ☐ Only 1
- ☐ 1 and 2
- ☐ 2 and 3
- ☐ 1 and 3
- ☐ 1, 2 and 3

 UnAttempted

CORRECT ANSWER:

1 and 3

Explanation:

Every complaint provides an opportunity to add a new element to the service, or to improve the delivery, thus augmenting the product.

A complaint does not necessarily mean that there is a fault or neglect on the part of an individual. People concerned with providing the service tend to interpret a complaint as an accusation against themselves

Q 36. Identify from the following, the most prominent factor/ behavior at the evaluation stage by general consumers.

- ☐ Operating instructions
- ☐ After sales service experience
- ☐ Feedback about the product and its rating
- ☐ Technical information available about the product
- ☐ Personal liking for the product developed over of time

 UnAttempted

CORRECT ANSWER:

Personal liking for the product developed over of time

Explanation:

At the stage of evaluation, the personal preferences and predilections play a major role. Evaluations have to be made on the basis of criteria. The criteria for evaluation are chosen by the buyer himself.

Q 37. Identify the reason behind the following scenario: “We form opinions about personality and character of a stranger, by looking at his face and behaviours.”

- ☐ Imagination
- ☐ Stimuli influences perception
- ☐ Of Indoctrination
- ☐ Perception is a cognitive phenomenon
- ☐ Perception is an accurate understanding of the reality

 UnAttempted

CORRECT ANSWER:

Perception is a cognitive phenomenon

Explanation:

Perception is also a cognitive phenomenon, influencing our observations and judgments. The perception may be an accurate understanding of the reality. It may also not be.

The extent to which the reality differs from the perception, may be referred to as perceptual error.

Q 38. The control has to be on the _____ that delivers the outcome, which then produce satisfaction, in the service industry.

- ☐ Process
- ☐ Events
- ☐ Price
- ☐ Programme
- ☐ Problem solving

 UnAttempted

CORRECT ANSWER:

Process

Explanation:

In a service industry, the control has to be on the process that delivers the outcome, which then produces satisfaction.

Q 39. Give an example of “service that facilitates availability of tangible products”.

- ☐ Decor
- ☐ Mail order
- ☐ Security Services
- ☐ Consultancy
- ☐ Placement agencies

 UnAttempted

CORRECT ANSWER:

Mail order

Explanation:

Examples of services that facilitate availability of tangible products are: retailing, credit cards, financing, warehousing, mail order, transport.

Q 40. Identify from the following, the essential practices of a producer in procurement of resources. 1. Advertisement 2. Product Packaging 3. Finance

- ☐ Only 3
- ☐ 1 and 2
- ☐ 1 and 3
- ☐ 2 and 3
- ☐ 1,2 and 3

 UnAttempted

CORRECT ANSWER:

Only 3

Explanation:

The producer makes decisions with regard to the procurement and use of resources, to be transformed into goods and / or services, to be sold. The resources are procured and processed through practices relating to finance, personnel, production, materials, ancillaries, vendors, etc.

Q 41. Which of the following actions will have social impact?

- ☐ Opening of an office in a new town
- ☐ Adopting a new recruitment policy favouring local residents
- ☐ Opening of a room for employees to practice yoga
- ☐ All of the above
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

Organisations are in command of large financial, human, technical and other resources. They are the natural leaders of society.

Q 42. Which of the following DOES NOT add value?

- ☐ Air conditioner repair
- ☐ Painting of house
- ☐ Refrigerated warehouse
- ☐ Advertisement
- ☐ All of the above

 UnAttempted

CORRECT ANSWER:

Advertisement

Q 43. Which of the following does **NOT** explain correctly what a 'Stroke' is?

- ☐ It is an act of recognition
- ☐ It shows concern
- ☐ It shows that one's work is noticed
- ☐ It is a disease
- ☐ All of the above

 UnAttempted

CORRECT ANSWER:

It is a disease

Explanation:

Another useful concept to understand consumer behaviour is that of Strokes, taken from the constructs of Transactional Analysis.

Physical stroking is done by passing one's hand gently over the back of the other.

Q 44. Which of the following factors will be relevant for segmentation?

- ☐ Occupation
- ☐ Family size
- ☐ Hobbies
- ☐ All of them
- ☐ None of them

 UnAttempted

CORRECT ANSWER:

All of them

Explanation:

Market segmentation is the process of disaggregating the total market into a number of sub-markets, in such a way that each of these submarkets share one or more common characteristics relevant to the purchase.

Q 45. Which of the following statements is true?

- ☐ All sub-systems of an organisation have identical goals
- ☐ Every subsystem is independent of the bigger system
- ☐ Every subsystem influences the bigger system
- ☐ Subsystems need not be concerned about the other subsystems in an organisation.
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

Every subsystem influences the bigger system

Q 46. Identify from the following the true statements.

- ☐ India is a leading producer of fruits and vegetables in the world.
- ☐ The yields in India of fruits and vegetables are less than in many other countries.
- ☐ More fruits are lost in India than are consumed in the UK.
- ☐ All the above statements are true.
- ☐ None of the above are true.

 UnAttempted

CORRECT ANSWER:

All the above statements are true.

Explanation:

India is the leading producer of sugar, tea, milk, fruits and vegetables. Yields are lower than the world's best even in areas like fruits and vegetables, where India is the world's largest.

More fruits and vegetables are lost in India (estimated at 30 million tonnes) than are consumed in the U.K.

Q 47. Consumerism is related to which of the following?

- ☐ Product causing harm to the user.
- ☐ Repairs not being done as per warranty provisions.
- ☐ Gifts not being given as advertised.
- ☐ All of the above
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

Consumerism, as a movement started in the USA in the 1950s. It began with Ralph Nader protesting against death and injuries in car accidents, caused mainly because manufacturers neglected safety features.

The movement, as it developed, exposed many manufacturers, who, for the sake of continued business, either through neglect and oversight or sometimes by deliberate action, caused harm to the consumers.

Q 48. Who, in an insurance office, can improve, or erode, the perception of credibility?

- ☐ The employee processing the claim
- ☐ The telephone operator
- ☐ The enquiry clerk
- ☐ All the above three
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

All the above three

Explanation:

The insurance service is fiduciary in nature. Credibility or trustworthiness, in the perceptions of the customer, is crucial.

Any of the mentioned employees can strengthen or erode this.

Q 49. Select the correct statement from the following.

- ☐ Use of equipments to provide service ensures consistent quality.
- ☐ Extensive training for personnel ensures consistent quality.
- ☐ Quality of service is affected by behaviour of the customer
- ☐ Highly skilled employees ensure consistent quality
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

Quality of service is affected by behaviour of the customer

Explanation:

The individuals, whose behaviours define the moments of truth, effectively determine the quality of service.

Q 50. Which of the below statements is true?

- ☐ Quality is what the customer says it is.
- ☐ Quality at any time is decided by the Managing Director.
- ☐ Quality of service can be bad despite good training to staff
- ☐ Good quality is too expensive to maintain
- ☐ None of the above

 UnAttempted

CORRECT ANSWER:

Quality is what the customer says it is.

Explanation:

Quality is what the customer says it is.